
ECONOMICS

0455/21

Paper 2 Structured Questions

**Predicted
Moderate**

MARK SCHEME
Maximum Mark: 90

Published

This mark scheme is published as an aid to teachers and candidates, to indicate the requirements of the examination. It shows the basis on which Examiners were instructed to award marks.

Mark schemes should be read in conjunction with the question paper.

This predicted-paper mark scheme has been written to closely reflect the marking conventions used by Cambridge Assessment International Education for the Cambridge IGCSE™ Economics (0455) syllabus.

This document consists of 24 printed pages.

Generic Marking Principles

These general marking principles must be applied by all examiners when marking candidate answers. They should be applied alongside the specific content of the mark scheme or generic level descriptions for a question.

GENERIC MARKING PRINCIPLE 1:

Marks must be awarded in line with the specific content of the mark scheme, the skills defined, and the standard of response required.

GENERIC MARKING PRINCIPLE 2:

Marks awarded are always whole marks (not half marks, or other fractions).

GENERIC MARKING PRINCIPLE 3:

Marks must be awarded positively: credit is given for correct/valid answers; marks are not deducted for errors or omissions.

GENERIC MARKING PRINCIPLE 4:

Rules must be applied consistently, including the use of generic level descriptors.

GENERIC MARKING PRINCIPLE 5:

Marks should be awarded using the full range of marks defined in the mark scheme.

GENERIC MARKING PRINCIPLE 6:

Marks awarded are based solely on the requirements as defined in the mark scheme.

Social Science-Specific Marking Principles

(for point-based marking)

Point marking is used to reward knowledge, understanding and application of skills. Credit is given where the candidate's answer shows relevant knowledge, understanding and application of skills in answering the question. Credit is not given where the answer shows confusion.

- Alternative answers/examples which are not written in the mark scheme are credited if they are correct.
- Answers worded differently from the mark scheme are credited if they convey the same meaning.
- Slashes (/) or 'or' separate alternative ways of making the same point.
- Bullets, semi-colons or figures in brackets separate different points.
- A correct answer to a calculation is given full credit, even without supporting working, unless working is explicitly required.
- The 'own figure rule' applies where a candidate's previous incorrect figure is carried forward correctly.

Calculation questions

The mark scheme shows the steps in the most likely correct method(s), the mark for each step, and the correct answer(s). If the candidate uses a valid method not covered by the mark scheme, award equivalent marks for reaching equivalent stages.

Question	Answer	Mark	Guidance
1(a)	Calculate the price elasticity of demand for airline tickets to Thailand.	1	Accept 1.5
1(b)	(–) 1.5 (1) Identify two objectives of the Bank of Thailand.	2	Only accept these answers if within the first three listed.
1(c)	Price stability / low and stable inflation (1) Control the money supply / set the bank rate (1) Also accept: financial stability / act as banker to the government / manage the exchange rate (1 each). Explain one feature of a mixed economy.	2	One mark for a feature identified and one mark for an explanation.
1(d)	Resources are allocated by both the private and public sectors (1) the government provides merit and public goods / firms provide most other goods through the price mechanism (1). OR There is both private ownership and public ownership (1) of the means of production / land, capital etc (1). Explain two reasons why a government may impose a progressive income tax.	4	One mark for each reason identified and one mark for each explanation. Max 2 reasons.
1(e)	To reduce income inequality (1) higher earners pay a larger proportion of their income in tax so take-home income gap narrows (1). To raise government revenue (1) which can be used to fund public services such as healthcare and education (1). To act as an automatic stabiliser (1) tax receipts rise faster than incomes when the economy grows, cooling demand (1). Analyse the relationship between tax revenue as a percentage of GDP and GDP per head.	4	Responses should address the relationship, offer supporting evidence and analyse the data.
	There is no clear / consistent relationship between the two variables (1). Countries with a high tax ratio do not necessarily have a high GDP per head (1). Singapore has the lowest tax ratio at 13% but the highest GDP per head at \$84 500 (1). Vietnam has the highest tax ratio at 19% but one of the lowest GDP per head figures at \$4 300 (1). Analysis: GDP per head depends on many factors such as productivity, capital stock and the sectoral		

	composition of the economy, not just on the tax burden (1).		
1(f)	Analyse, using a demand and supply diagram, how an increase in global demand for natural rubber could affect the market for rubber in Thailand.	5	Max 4 marks for the diagram and max 2 marks for the written analysis. Overall maximum 5.
	Demand and supply diagram: Axes correctly labelled – price and quantity (1) Original demand and supply curves correctly labelled (1) New demand curve shifted to the right (1) Equilibrium positions shown, with P1Q1 and P2Q2 or E1 and E2 labelled (1) Written analysis: An increase in global demand will shift demand right (1); at the original price there is a shortage (1) which puts upward pressure on price (1); higher price encourages an extension of supply (1); new equilibrium is at a higher price and quantity (1).		
1(g)	Discuss whether or not an appreciation of the Thai baht will harm the Thai economy.	6	Award up to 4 marks for reasons why it might and up to 4 marks for why it might not. Max 6.
	Why it might / reasons for: - Exports become more expensive in foreign currency terms (1) demand for Thai exports may fall (1) a possible contraction in export industries (1) job losses (1). - Imports become cheaper (1) domestic firms competing with imports may suffer (1) revenue may fall (1). - Current account surplus could become a deficit (1) reducing foreign exchange reserves (1). - Tourism industry may be hurt (1) Thailand becomes relatively expensive for overseas tourists (1). Why it might not / reasons against: - Cheaper imports lower domestic prices (1) reduces imported inflation (1) helps firms that use imported inputs (1). - If demand for Thai exports is price inelastic (1) export revenue may not fall much (1). - Cheaper imports raise consumers' purchasing power / real incomes (1) standards of living may rise (1). - Strong currency may attract foreign investment (1) indicating a sound economy (1).		
1(h)	Discuss whether or not small firms in Thailand	6	Award up to 4 marks for reasons for and up to 4

should be given more support by the government.

marks for reasons
against. Max 6.

Why it might / reasons for:

- Small firms provide much of the employment (1) supporting them reduces unemployment (1) and poverty (1).
- Small firms promote competition (1) which lowers prices (1) and raises choice for consumers (1).
- They face credit constraints (1) government-backed loans or guarantees could fund investment (1) expansion (1).
- Small firms can innovate (1) bring new products to market (1) help diversify the economy away from primary products (1).

Why it might not / reasons against:

- Subsidies have an opportunity cost (1) the money could be spent on education or healthcare (1).
- Picking winners is difficult (1) taxpayers may end up supporting firms that later fail (1).
- Large MNCs may offer better jobs, higher wages, training and technology transfer (1) so support should target MNCs (1).
- Supporting small firms may reduce competitive pressure (1) so inefficient firms survive (1) productivity falls (1).

2(a) Identify two causes of an increase in the size of a country's labour force.

2 Any two. Only accept these answers if within the first three listed.

Net inward migration (1)
Rise in the retirement age (1)
Fall in the school leaving age (1)
Higher participation rate of women (1)
Previous rise in birth rate now reaching working age (1)

2(b) Explain two reasons why a central bank may reduce the bank rate.

4 Any two. One mark for the reason identified, one for explanation.

To increase consumer spending (1) lower interest rates reduce the return on saving and reduce the cost of borrowing (1).
To increase investment by firms (1) as loans become cheaper (1).
To stimulate economic growth (1) as higher AD raises real GDP (1).
To reduce the exchange rate (1) which makes exports

	more competitive (1).		
2(c)	Analyse how a rise in the participation of women in the labour force may benefit an economy.	6	Coherent analysis. Max 6.

Larger labour force (1) raises potential output / productive capacity (1).
 Higher total household incomes (1) raise consumer spending (1) raise AD (1).
 Greater tax revenue (1) income tax base expands (1) government can spend more on public services (1).
 More skilled workers (1) improving productivity (1) making firms more competitive internationally (1).
 Greater diversity in the workplace may improve decision-making (1) leading to higher profits (1).

2(d)	Discuss whether or not a country should rely on garment and footwear exports.	8	See Guidance table at the end of the mark scheme.
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In assessing each answer, use the table at the end of the mark scheme.

Why it might / reasons for:

- Utilises existing comparative advantage – low wage costs and established manufacturing base
- Creates large-scale employment, especially for low-skilled workers and women
- Earns foreign exchange that can be used to import capital equipment and essentials
- Economies of scale can reduce unit cost and raise competitiveness

Why it might not / reasons against:

- Heavy dependence on a few industries creates vulnerability to changes in global demand and fashion
- Wages in these sectors tend to be low, limiting gains in living standards
- Competition from lower-wage economies can quickly erode market share
- Limited opportunity for moving up the value chain and developing higher-skill sectors
- Risk of poor working conditions; reputational costs and trade restrictions

3(a)	Define merit good.	2	Definition plus elaboration.
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A good that provides external benefits (1) and is under-consumed if left to the free market (1).

OR

A good that is more beneficial than consumers realise (1), often provided or subsidised by the government (1).

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|-------------|---|---|--|
| 3(b) | Explain two ways a government can encourage the consumption of a merit good. | 4 | Any two. 1 mark identify + 1 mark explanation. |
|-------------|---|---|--|

Subsidies to suppliers (1) reduces the market price, so consumers buy more (1).

Free or subsidised provision by the state (1) removes the barrier of price (1).

Information campaigns (1) inform consumers of the private and external benefits (1).

Legal requirement, e.g. compulsory school attendance (1) increases consumption (1).

- | | | | |
|-------------|--|---|--------------------|
| 3(c) | Analyse why private and external benefits can differ. | 6 | Coherent analysis. |
|-------------|--|---|--------------------|

Private benefit is the value gained by an individual from consumption (1).

External benefit is the value enjoyed by third parties (1) not involved in the transaction (1).

For education: the individual gains higher future earnings (1); society gains a more productive workforce and lower crime (1).

For vaccination: the individual gains immunity (1); society benefits from reduced spread of disease (1).

Social benefit = private + external benefit (1); when external benefits exist, $MSB > MPB$ (1).

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| 3(d) | Discuss whether or not government intervention always improves the allocation of resources. | 8 | See Guidance table at the end of the mark scheme. |
|-------------|--|---|---|

In assessing each answer, use the table at the end of the mark scheme.

Why it might / reasons for:

- Corrects market failure in the presence of externalities (tax, subsidy, regulation)
- Provides public goods that private markets under-provide
- Reduces information failure through disclosure rules
- Redistributes income through progressive taxes and welfare

Why it might not / reasons against:

- Risk of government failure: regulators may lack

	information about the efficient level of output • Political pressures may lead to decisions that do not serve efficiency • Bureaucratic cost of running interventions may be high • Unintended consequences: subsidies may be captured by already-wealthy producers; price controls can create shortages or surpluses		
4(a)	Identify two characteristics of a multinational company (MNC).	2	Any two.
	Produces / has branches or subsidiaries in more than one country (1) Large in size / has a large market share (1) Headquartered in one country (1)		
4(b)	Explain two benefits to a host country of an MNC operating within it.	4	Any two.
	Increases employment (1) lowers unemployment and poverty (1). Transfers technology and skills (1) raising productivity of the host country (1). Increases tax revenue (1) for the host government to spend on services (1). Increases exports (1) improving the current account (1).		
4(c)	Analyse why wages may rise in an expanding industry.	6	Coherent analysis.
	Rise in the demand for labour (1) firms need more workers to meet higher demand for their product (1). Derived demand (1) labour is demanded because of the demand for goods produced (1). Short-run inelastic supply of skilled labour (1) training takes time (1) so wages rise to attract workers (1). Firms may offer higher wages to prevent workers leaving (1) reducing staff turnover costs (1). Trade unions may bargain for higher wages in profitable firms (1).		
4(d)	Discuss whether or not an MNC will remain in a host country if wages rise.	8	See Guidance table at the end of the mark scheme.

In assessing each answer, use the table at the end of the mark scheme.

Why it might / reasons for:

- Higher wages may be offset by rising productivity

- and better quality
- Established supply chains and logistics create switching costs
- Proximity to major markets (e.g. Mexico close to the USA) is hard to replicate elsewhere
- Long-term contracts with suppliers and the government make relocation costly

Why it might not / reasons against:

- Rising wages raise unit costs and erode profit margins
- Lower-wage economies may become more attractive alternatives
- Protectionism or trade disputes may disrupt exports, making relocation appealing
- Automation may reduce the importance of wage cost, enabling relocation to home markets

5(a)	Define dependency ratio.	2	Definition worth 2 marks.
The ratio of the dependent population (those not of working age) to the working-age population (1) usually expressed as a percentage (1).			
5(b)	Explain two reasons why people are living longer in Japan.	4	Any two.
Improvements in medical technology (1) better treatment of illness reduces mortality (1). Better diet and nutrition (1) lowering chronic disease (1). Higher incomes (1) enabling better living conditions, heating and healthcare (1). Improved public healthcare (1) prevention and screening raises life expectancy (1).			
5(c)	Analyse the consequences of an ageing population for government spending.	6	Coherent analysis.
Increased spending on pensions (1) as more people retire (1). Increased spending on healthcare (1) older people use health services more (1). Falling tax revenue (1) as labour force shrinks (1) leads to smaller budget (1). May require higher taxation (1) to fund additional spending (1). Spending on education may fall (1) if fewer young people need schooling (1).			
5(d)	Discuss whether or not a country will benefit from	8	See Guidance table at the

an increase in the retirement age.

end of the mark scheme.

In assessing each answer, use the table at the end of the mark scheme.

Why it might / reasons for:

- Increases labour force and potential output
- Raises tax revenue and reduces pension spending, easing government budget
- Experienced workers provide knowledge and mentoring
- Individuals can continue earning and saving, raising future incomes

Why it might not / reasons against:

- Older workers may be less productive or have lower adaptability to new technology
- Reduces job openings for younger workers, potentially raising youth unemployment
- Health problems among older workers may raise absenteeism
- Personal freedom: forcing people to work longer may reduce well-being

Guidance table for Questions 2(d), 3(d), 4(d), 5(d)

Level	Description	Marks
3	A reasoned discussion which accurately examines both sides of the economic argument, making use of economic information and clear and logical analysis to evaluate economic issues and situations. One side of the argument may have more depth than the other, but overall both sides of the argument are considered and developed. There is thoughtful evaluation of economic concepts, terminology, information and/or data appropriate to the question. The discussion may also point out the possible uncertainties of alternative decisions and outcomes.	6–8
2	A reasoned discussion which makes use of economic information and clear analysis to evaluate economic issues and situations. The answer may lack some depth and development may be one-sided. There is relevant use of economic concepts, terminology, information and data appropriate to the question.	3–5
1	There is a simple attempt at using economic definitions and terminology. Some reference may be made to economic theory, with occasional understanding.	1–2
0	A mark of zero should be awarded for no creditable content.	0